PART B

STATEMENT OF CASH FLOWS

COMPARISON FOR THE YEARS ENDED 30 JUNE - 2026, 2025, 2024, 2023 AND 2022

Rupees in thousand

Particulars	2022	2023	2024	2025	2026
CASH FLOWS FROM OPERATING ACTIVITIES					
Profit / (loss) before levy and taxation	186,403	171,803	(365,983)	285,935	565,698
Adjustments for:					
Depreciation	244,900	234,543	211,762	188,925	181,649
Finance costs	114,921	273,509	325,868	183,297	176,946
Dividend income	(403)	-	-	-	-
Profit on bank deposits	(835)	(497)	(960)	(661)	(452)
Provision for compensated absences	-	23,619	6,048	9,030	28,890
Unwinding of interest / financial charges	(1,455)	(1,535)	-	-	-
Unrealised foreign exchange (gain) / loss	(1,448)	(11,386)	-	-	-
Unwinding of deferred grant	(8,999)	(1,098)	-	-	-
Allowance for expected credit loss	5,369	11,785	23,110	35,757	24,768
Gain / (loss) on termination of lease	(3,881)	-	534	(595)	-
Workers' Profit Participation Fund	10,063	9,152	-	15,373	30,269
Workers' Welfare Fund	4,489	3,701	1,988	6,149	9,415
(Gain) / loss on disposal of property, plant and equipment	-	(5,959)	(5,243)	5,945	(11,284)
Total adjustments	**362,721**	**535,834**	**563,107**	**443,220**	**440,201**
Operating profit before working capital changes	**549,124**	**707,637**	**197,124**	**729,155**	**1,005,899**
Decrease / (increase) in current assets					
Stores and spares	(26,392)	(78,197)	23,134	(10,786)	(23,111)
Stock in trade	(502,030)	160,072	54,819	198,343	(141,776)
Right to recover asset	496	(186)	4,586	-	-
Trade receivables	19,199	(191,224)	(150,226)	25,633	(151,746)
Loans and advances	125,293	(269,463)	372,693	(157,647)	(136,986)
Trade deposits, prepayments and other receivable	(4,168)	5,638	(8,240)	7,774	1,097

(Decrease) / increase in current liabilities					
Trade and other payables	220,278	(85,156)	249,481	115,486	(262,356)
Contract liabilities	69,980	-	41,494	21,658	(15,908)
Refund liability	3,851	(12,301)	(17,057)	(41,962)	1,733
Total working capital changes	**(93,493)**	**(470,817)**	**570,684**	**158,499**	**(729,053)**
Cash generated from operations	**455,631**	**236,820**	**767,808**	**887,654**	**276,846**
Profit on bank deposits received	671	405	895	661	452
Tax and levy paid	(70,311)	(118,161)	(161,248)	(216,424)	(264,012)
Finance costs paid	(107,656)	(196,426)	(345,900)	(235,755)	(163,210)
Compensated absences paid	-	(8,316)	(13,512)	(12,971)	(8,830)
Workers' Profit Participation Fund	-	9,152	(9,152)	-	(15,441)
Workers' Welfare Fund	-	3,701	(4,069)	-	(3,915)
Long-term receivables	5,705	7,874	20,348	194	(218)
Long-term deposits	(2,055)	566	(357)	(248)	(5,047)
Long-term prepayments	(2,832)	-	-	-	-
Total other operating cash flows	**(176,478)**	**(301,205)**	**(512,995)**	**(464,543)**	**(460,221)**
Net cash (used in) / generated from operations	**279,153**	**(64,385)**	**254,813**	**423,111**	**(183,375)**
CASH FLOWS FROM INVESTING ACTIVITIES					
Additions in property, plant and equipment	(86,906)	(190,696)	(50,230)	(133,291)	(209,584)
Dividend received	403	-	-	-	-
Sale proceeds from disposal of property, plant and equipment	46,047	34,891	17,863	4,877	31,215
Net cash used in investing activities	**(40,456)**	**(155,805)**	**(32,367)**	**(128,414)**	**(178,369)**
CASH FLOWS FROM FINANCING ACTIVITIES					
Lease liabilities					
- Obtained	-	-	-	-	13,591
- Repaid	(16,201)	(7,397)	(15,517)	(17,037)	(16,297)
Short term borrowings					
- Obtained	105,827	227,216	-	15,427,292	16,848,157
- Repaid	-	-	(103,246)	(15,571,650)	(16,650,192)
Long term loans					
- Obtained	-	79,076	-	-	200,000

- Repaid	(355,798)	-	(100,000)	(75,000)	(33,333)
Dividend paid	(43,364)	(44,183)	(17,783)	-	(61,801)
Net cash generated from / (used in) financing activities	**(309,536)**	**254,712**	**(236,546)**	**(236,395)**	**300,125**
Net (decrease) / increase in cash and cash equivalents	**(70,839)**	**34,522**	**(14,100)**	**58,302**	**(61,619)**
Cash and cash equivalents at the beginning of the year	154,955	84,116	118,637	104,536	162,838
Cash and cash equivalents at the end of the year	**84,116**	**118,638**	**104,537**	**162,838**	**101,219**

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STATEMENT OF PROFIT OR LOSS

COMPARISON FOR THE YEARS ENDED 30 JUNE - 2026, 2025, 2024, 2023 AND 2022

Rupees in thousand

Particulars	2022	2023	2024	2025	2026
Revenue from contracts with customers - net	8,169,271	8,745,424	8,154,971	9,182,592	9,634,075
Cost of revenue	(6,395,873)	(6,665,173)	(6,544,543)	(6,930,698)	(6,932,581)
Gross profit	**1,773,398**	**2,080,251**	**1,610,428**	**2,251,894**	**2,701,494**
Distribution expense	(1,100,413)	(1,242,770)	(1,179,091)	(1,252,950)	(1,372,401)
Administrative expense	(334,557)	(377,074)	(392,120)	(430,103)	(502,914)
Other operating expense	(127,637)	(127,089)	(112,764)	(150,404)	(164,474)
Total operating expenses	**(1,562,607)**	**(1,746,933)**	**(1,683,975)**	**(1,833,457)**	**(2,039,789)**
Operating profit / (loss)	**210,791**	**333,318**	**(73,547)**	**418,437**	**661,705**
Other income	94,804	118,139	39,636	57,467	87,604
Finance cost	(119,192)	(279,654)	(332,072)	(189,969)	(183,611)
Profit / (loss) before levy and taxation	**186,403**	**171,803**	**(365,983)**	**285,935**	**565,698**
Levy	-	(113,177)	(96,826)	(118,011)	(123,339)
Profit / (loss) before taxation	**186,403**	**58,626**	**(462,809)**	**167,924**	**442,359**
Taxation	(106,484)	(10,816)	-	(4,874)	(87,809)
Profit / (loss) for the year	**79,919**	**47,810**	**(462,809)**	**163,050**	**354,550**

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Horizontal / Index Common Size Analysis

STATEMENT OF PROFIT OR LOSS

Rupees in thousand

Particulars	2022	2023	2024	2025	2026
Revenue from contracts with customers - net	100.0	107.1	99.8	112.4	117.9
Cost of revenue	100.0	104.2	102.3	108.4	108.4
Gross profit	100.0	117.3	90.8	127.0	152.3
Distribution expense	100.0	112.9	107.1	113.9	124.7
Administrative expense	100.0	112.7	117.2	128.6	150.3
Other operating expense	100.0	99.6	88.3	117.8	128.9
Total operating expenses	100.0	111.8	107.8	117.3	130.5
Operating profit / (loss)	100.0	158.1	(34.9)	198.5	313.9
Other income	100.0	124.6	41.8	60.6	92.4
Finance cost	100.0	234.6	278.6	159.4	154.0
Profit / (loss) before levy and taxation	100.0	92.2	(196.3)	153.4	303.5
Levy	n/a				
Profit / (loss) before taxation	100.0	31.5	(248.3)	90.1	237.3
Taxation	100.0	10.2	-	4.6	82.5
Profit / (loss) for the year	100.0	59.8	(579.1)	204.0	443.6

ANALYSIS:

Revenue increased: From 100 in 2022 to 117.9 in 2026, meaning sales increased by 17.9% overall.

Gross profit improved strongly: It reached 152.3 in 2026, showing the company is generating more profit after its direct costs.

2024 was the weakest year: The company had a major operating loss and overall loss in 2024, but it recovered strongly in 2025–2026.

2026 was a strong recovery: Operating profit reached 313.9 and final profit reached 443.6, while finance costs also came down from their 2024 high.

Overall: The company had a difficult 2024, but 2025 and especially 2026 show a strong improvement in profitability and financial performance

STATEMENT OF FINANCIAL POSITION

COMPARISON AS AT 30 JUNE - 2026, 2025, 2024, 2023 AND 2022

Rupees in thousand

Particulars	2022	2023	2024	2025	2026
ASSETS					
NON-CURRENT ASSETS					
Property, plant and equipment	1,439,189	1,371,951	1,201,455	1,133,620	1,141,624
Long-term investment	3,200	3,508	4,785	8,110	14,686
Long-term receivable and prepayments	25,011	18,672	194	-	218
Long-term deposits	7,881	7,315	7,672	7,922	12,969
Deferred tax asset - net	-	-	-	-	5,402
Total non-current assets	**1,475,281**	**1,401,446**	**1,214,106**	**1,149,652**	**1,174,899**
CURRENT ASSETS					
Stores and spares	167,387	245,584	222,450	233,236	256,347
Stock in trade	2,147,005	1,986,933	1,932,114	1,733,771	1,875,547
Right to recover asset	4,400	4,586	-	-	-
Trade receivables	285,999	476,824	627,050	545,237	672,215
Loans and advances	121,929	391,392	18,699	176,346	313,332
Trade deposits, prepayments and other receivables	10,877	5,331	13,571	5,797	4,700
Prepaid levy and taxation	18,305	12,473	76,895	170,434	216,170
Cash and bank balances	84,116	118,637	104,536	162,838	101,219
Total current assets	**2,840,018**	**3,241,760**	**2,995,315**	**3,027,659**	**3,439,530**
TOTAL ASSETS	**4,315,299**	**4,643,206**	**4,209,421**	**4,177,311**	**4,614,429**
EQUITY AND LIABILITIES					
SHARE CAPITAL AND RESERVES					
Authorized share capital (10 million shares of Rs. 10/- each)	100,000	100,000	100,000	100,000	100,000

Issued, subscribed and paid up share capital	96,631	96,631	96,631	96,631	96,631
Capital reserve - merger reserve	5,000	5,000	5,000	5,000	5,000
Revenue reserves	1,787,707	1,787,510	1,306,652	1,473,027	1,764,784
TOTAL EQUITY	**1,889,338**	**1,889,141**	**1,408,283**	**1,574,658**	**1,866,415**
NON-CURRENT LIABILITIES					
Long-term loans	-	75,000	-	-	33,334
Lease liabilities	62,463	57,117	51,478	46,939	38,840
Total non-current liabilities	**62,463**	**132,117**	**51,478**	**46,939**	**72,174**
CURRENT LIABILITIES					
Trade and other payables	968,190	1,056,933	1,264,809	1,379,492	1,157,592
Contract liabilities	132,890	-	83,098	84,333	68,425
Unclaimed dividend	9,796	13,928	15,471	15,471	21,312
Short-term borrowings	1,035,442	1,262,658	1,159,411	1,015,053	1,213,018
Current portion of non current liabilities	104,792	117,546	86,873	9,117	153,647
Accrued markup	20,805	91,601	77,773	31,985	39,850
Refund liability	91,583	79,282	62,225	20,263	21,996
Total current liabilities	**2,363,498**	**2,621,948**	**2,749,660**	**2,555,714**	**2,675,840**
TOTAL EQUITY AND LIABILITIES	**4,315,299**	**4,643,206**	**4,209,421**	**4,177,311**	**4,614,429**

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Horizontal / Index Common Size Analysis

STATEMENT OF FINANCIAL POSITION

Rupees in thousand

Particulars	2022	2023	2024	2025	2026
ASSETS					
NON-CURRENT ASSETS					
Property, plant and equipment	100	95	83	79	79
Long-term investment	100	110	150	253	459
Long-term receivable and prepayments	100	75	1	-	1
Long-term deposits	100	93	97	101	165
Deferred tax asset - net	-		-	-	-
Total non-current assets	100	95	82	78	80
CURRENT ASSETS					
Stores and spares	100	147	133	139	153
Stock in trade	100	93	90	81	87
Right to recover asset	100	104	-	-	-
Trade receivables	100	167	219	191	235
Loans and advances	100	321	15	145	257
Trade deposits, prepayments and other receivables	100	49	125	53	43
Prepaid levy and taxation	100	68	420	931	1,181
Cash and bank balances	100	141	124	194	120
Total current assets	100	114	105	107	121
TOTAL ASSETS	100	108	98	97	107

EQUITY AND LIABILITIES					
SHARE CAPITAL AND RESERVES					
Authorized share capital (10 million shares of Rs. 10/- each)	100	100	100	100	100
Issued, subscribed and paid up share capital	100	100	100	100	100
Capital reserve - merger reserve	100	100	100	100	100
Revenue reserves	100	100	73	82	99
TOTAL EQUITY	100	100	75	83	99
NON-CURRENT LIABILITIES					
Long-term loans	-	-	-	-	-
Lease liabilities	100	91	82	75	62
Total non-current liabilities	**100**	212	82	75	116
CURRENT LIABILITIES					
Trade and other payables	100	109	131	142	120
Contract liabilities	100	-	63	63	51
Unclaimed dividend	100	142	158	158	218
Short-term borrowings	100	122	112	98	117
Current portion of non current liabilities	100	112	83	9	147
Accrued markup	100	440	374	154	192
Refund liability	100	87	68	22	24
Total current liabilities	100	111	116	108	113
TOTAL EQUITY AND LIABILITIES	100	108	98	97	107

ANALYSIS:

Overall Assets: Shezan International's total assets remained fairly stable over the years. They decreased slightly from 100 in 2022 to 97 in 2025, but then improved to 107 in 2026, showing a recovery in the company's overall asset position.

Current vs. Non-Current Assets: Non-current assets gradually declined from 100 to 80, while current assets increased to 121 by 2026. This shows that the company is holding a larger portion of its assets in short-term assets such as receivables, advances, and cash.

Equity Position: Total equity decreased significantly from 100 in 2022 to 75 in 2024, indicating some weakness during this period. However, it recovered to 99 in 2026, which is a positive sign and shows that the company's financial strength has improved.

Overall Financial Position: **The company's position can be described as mixed but improving**. Although liabilities and short-term obligations remain relatively high, **the recovery in total assets and equity in 2026 suggests that Shezan International has strengthened its financial position compared with the previous few years.**